Customer Shopping Behavior Analysis

1. Project Overview

This project analyzes customer shopping behavior using transactional data from 3,900 purchases across various product categories. The goal is to uncover insights into spending patterns, customer segments, product preferences, and subscription behavior to guide strategic business decisions

2. Dataset Summary

- Rows: 3,900 - Columns: 18 - Key Features: - Customer demographics (Age, Gender, Location, Subscription Status) - Purchase details (Item Purchased, Category, Purchase Amount, Season, Size, Color) - Shopping behavior (Discount Applied, Promo Code Used, Previous Purchases, Frequency of Purchases, Review Rating, Shipping Type) - Missing Data: 37 values in Review Rating column

3. Exploratory Data Analysis using Python

We began with data preparation and cleaning in Python:

- **Data Loading:** Imported the dataset using pandas.

- **Initial Exploration**: Used df.info() to check structure and .describe() for summary statistics.

```
[7]: df.describe(include = "all")
```

[7]:

	Customer ID	Age	Gender	Item Purchased	Category	Purchase Amount (USD)	Location	Size	Color	Season	Review Rating	Subscription Status	Shipping Type	Discount Applied	Promo Code Used	3
count	3900.000000	3900.000000	3900	3900	3900	3900.000000	3900	3900	3900	3900	3863.000000	3900	3900	3900	3900	
unique	NaN	NaN	2	25	4	NaN	50	4	25	4	NaN	2	6	2	2	
top	NaN	NaN	Male	Blouse	Clothing	NaN	Montana	M	Olive	Spring	NaN	No	Free Shipping	No	No	
freq	NaN	NaN	2652	171	1737	NaN	96	1755	177	999	NaN	2847	675	2223	2223	
mean	1950.500000	44.068462	NaN	NaN	NaN	59.764359	NaN	NaN	NaN	NaN	3.750065	NaN	NaN	NaN	NaN	
std	1125.977353	15.207589	NaN	NaN	NaN	23.685392	NaN	NaN	NaN	NaN	0.716983	NaN	NaN	NaN	NaN	
min	1.000000	18.000000	NaN	NaN	NaN	20.000000	NaN	NaN	NaN	NaN	2.500000	NaN	NaN	NaN	NaN	
25%	975.750000	31.000000	NaN	NaN	NaN	39.000000	NaN	NaN	NaN	NaN	3.100000	NaN	NaN	NaN	NaN	
50%	1950.500000	44.000000	NaN	NaN	NaN	60.000000	NaN	NaN	NaN	NaN	3.800000	NaN	NaN	NaN	NaN	
75%	2925.250000	57.000000	NaN	NaN	NaN	81.000000	NaN	NaN	NaN	NaN	4.400000	NaN	NaN	NaN	NaN	
max	3900.000000	70.000000	NaN	NaN	NaN	100.000000	NaN	NaN	NaN	NaN	5.000000	NaN	NaN	NaN	NaN	

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● **Missing Data Handling**: Checked for null values and imputed missing values in the Review Rating column using the median rating of each product category.

● **Column Standardization**: Renamed columns to snake case for better readability and documentation.

● **Feature Engineering:**

○ Created age_group column by binning customer ages.

○ Created purchase_frequency_days column from purchase data.

● **Data Consistency Check**: Verified if discount_applied and promo_code_used were redundant; dropped promo_code_used.

● **Database Integration:** Connected Python script to PostgreSQL and loaded the cleaned DataFrame into the database for SQL analysis.

4. Data Analysis using SQL (Business Transactions)

We performed structured analysis in PostgreSQL to answer key business questions:

1. **Revenue by Gender** – Compared total revenue generated by male vs. female customers



	gender	revenue
▶	Male	157890
	Female	75191

2. High-Spending Discount Users – Identified customers who used discounts but still spent above the average purchase amount.

customer_id	discount_applied	purchase_amount
2	Yes	64
3	Yes	73
4	Yes	90
7	Yes	85
9	Yes	97
12	Yes	68

3. Top 5 Products by Rating – Found products with the highest average review ratings.

item_purchased	avg_reviwe_rating
Gloves	3.86
Sandals	3.84
Boots	3.82
Hat	3.8
Handbag	3.78

4. Shipping Type Comparison – Compared average purchase amounts between Standard and Express shipping.

avg_purchase_amount	shipping_type
60.48	Express
58.46	Standard

5. Subscribers vs. Non-Subscribers – Compared average spend and total revenue across subscription status.

subscription_status	total_customer	avg_spend	total_revenue
Yes	1053	59.49	62645
No	2847	59.87	170436

6. Discount-Dependent Products – Identified 5 products with the highest percentage of discounted purchases.

item_purchased	discount_percentage
Hat	50.00000
Sneakers	49.65517
Coat	49.06832
Sweater	48.17073
Pants	47.36842

7. Customer Segmentation – Classified customers into Returning, and Loyal segments based on purchase history.

cutomer_segment	no_of_customers
Loyal	3361
Returning	539

8. Top 3 Products per Category – Listed the most purchased products within each category.

item_rank	category	item_purchased	total_orders
1	Accessories	Jewelry	171
2	Accessories	Sunglasses	161
3	Accessories	Belt	161
1	Clothing	Blouse	171
2	Clothing	Pants	171
3	Clothing	Shirt	169

9. Repeat Buyers & Subscriptions – Checked whether customers with >5 purchases are more likely to subscribe.

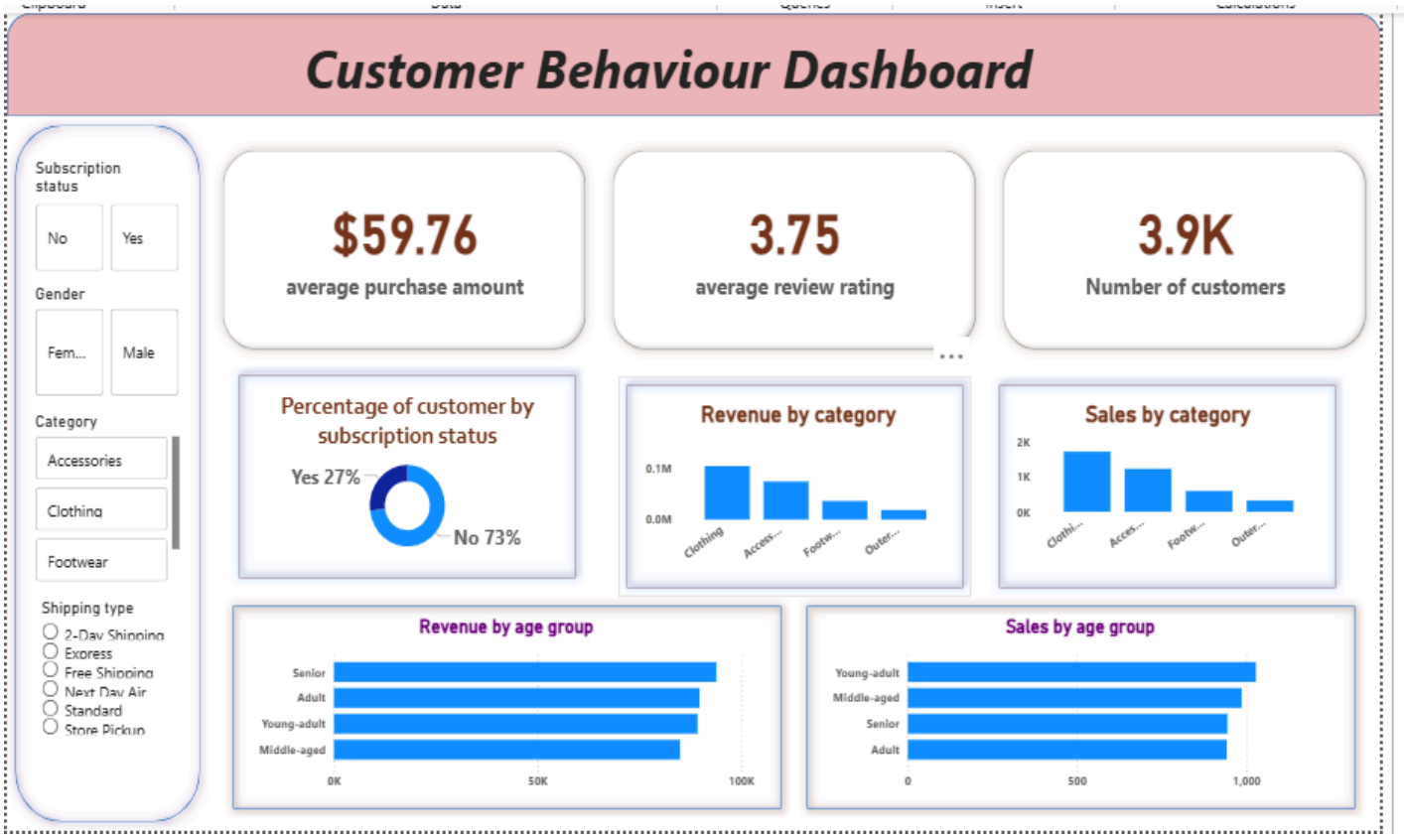
repeat_buyers	subscription_status
958	Yes
2518	No

10. Revenue by Age Group – Calculated total revenue contribution of each age group

age_group	revenue
Middle-aged	59197
Young-adult	62143
Senior	55763
Adult	55978

5. Dashboard in Power BI

Finally, we built an interactive dashboard in Power BI to present insights visually.



6. Business Recommendations

- **Boost Subscription**s – Promote exclusive benefits for subscribers.

- **Customer Loyalty Programs** – Reward repeat buyers to move them into the "Loyal" segment.

- **Review Discount Policy** – Balance sales boosts with margin control.

- **Product Positioning** – Highlight top-rated and best-selling products in campaigns.

- **Targeted Marketing** – Focus efforts on high-revenue age groups and express-shipping users.